

not know what would happen next. But you read the paper. Paul Volcker, head of the Federal Reserve, vowed to crush inflation. He seemed serious. And by the early 1980s, it was beginning to look as if he might win his battle against rising consumer prices.

Again, you didn't have to have a PhD in economics to realize that falling inflation rates wouldn't be good for gold. However, they'd be very good for stocks or bonds. So you made your second decision. You sold the gold and put the money into the stock market. Gold rose over \$800, but let's say you locked in your sale at \$500—a "10 bagger," as they say. Again, you had plenty of time to make your move. The price of gold stayed over \$500 from the end of 1979 until well into 1981.

The stock market took its sweet time, too. But that's the way beta investing goes. One decision. Lots of waiting. The Dow lollygagged around for five years after 1980 before it hit 1,500. So, let's say you waited five years and bought at 1,500. Then you waited again. Gradually, the Dow rose. And rose. And rose.

By the end of the 1990s, the Dow rose over 10,000. By January 2000, it was over 11,000. Then there were so many warning bells ringing you would have had to be deaf not to hear them. The Dow was up 1,000 percent. People were starting dot-com businesses with nothing. No business plans. No sales. No profits. They were making millions selling them to investors. Something had to give.

What should you have done? You should have made your third investment decision in 30 years. You should have sold stocks and bought gold again. Stocks were overbought. Gold was oversold. Adjusting for inflation, gold was down 80 percent to 90 percent from its 1980 high. Stocks were up about five times, inflation adjusted, from their 1980s low.

Had you done that, you would have multiplied your money at least another five times. Your original \$10,000 would have become \$300,000 by 2000. Then, in gold since, you would have multiplied your money another five times—for \$1,500,000.

We want to emphasize that this is very slow investing. You don't have to make any fast decisions. All those in this example could have been made over many months or many years. You don't really have to do much